

PRECEDENT TRANSACTIONS • EARNINGS QUALITY • 60% CONTROL

Why \$1.2 million, and why ask \$900,000 for 60%

25 August 2026. Prop-firm acquisitions that actually closed, what they are worth as comps, and the arithmetic behind the Verodus number. Perimeter: Verodus Capital Inc., Verodus L.L.C.-FZ, and 1591011 B.C. Ltd. Software in. Kim stays. Chun signs.

Ask \$900,000 cash for 60%. Implied 100% = \$1.5 million.

Standing value today: **\$1.2 million**. Take \$750,000. Floor \$660,000. Joe's \$600,000 example is below the floor unless a volume ratchet is written in. Cash only. Not Hub equity, not education IP.

1. What this paper is, and is not

There is almost no public price on a completed sale of a retail challenge brand the size of Verodus. That is a fact of the market, not a gap in this file. Scale players buy brokers, marketing agencies, and education desks. Mid-tier brands absorb each other without printing a multiple. Eighty to a hundred firms died in 2024–25 and left unpaid traders. The right way to use that record is to see who gets bought, at what scale, and which multiples must not be applied to a four-month, \$70,000-a-month book.

The Verodus number is therefore built from three things that do exist: (1) the live challenge card and the live payout ratio; (2) how small owner-operated businesses actually trade (SDE multiples); (3) what a buyer pays extra to lock 60% before volume arrives. Prop-firm M&A is the cross-check, not the formula.

2. Deals that closed — what they actually were

Date	Deal	What was bought	Price disclosed?	Use for Verodus
Dec 2025	FTMO / OMHC bought OANDA from CVC	Regulated multi-asset broker, founded 1996, five-regulator close. Not a challenge book.	Not disclosed. FTMO took a \$250m credit line. CVC had paid ~\$160m for 98.5% in 2018 (\$175m equity, ~5× \$35m EBITA).	Do not apply. Twenty-year broker, not a four-month eval shop.
2023–24	FTMO bought Quantlane and eVisions	Traditional (non-retail-eval) prop desk, and a marketing agency.	Not disclosed.	Capability tuck-ins. Confirms FTMO buys infrastructure around the brand, not a template for pricing Verodus.
Apr 2026	Topstep bought The Futures Desk	Futures education / coaching / tech. Topstep stays founder-owned; Plus500 is a clearing partner, not a confirmed buyer of Topstep.	Not disclosed.	Adjacent product, not a full challenge P&L.
May 2026	Instant Funding bought Funded Trading Plus	Two UK challenge brands under one group. Both keep separate rules, dashboards, payouts. Headline: group revenue +70%.	Not disclosed.	Closest shape of deal: cash M&A of a going-concern challenge brand. FTP had 4+ years, ~60k traders, ~\$19.5m lifetime payouts. Verodus has 4 months, ~3k traders, ~\$44k paid.

Sources: FTMO and OANDA press releases, 2 Dec 2025; Finance Magnates on CVC/OANDA 2018 (\$160m / \$175m / \$35m EBITA) and on OMHC 2024 accounts; Topstep, 1 Apr 2026; Instant Funding PR Newswire, 26 May 2026; Funded Trading Plus public payout claims. Plus500–Topstep acquisition talks (TradeInformer, Nov 2025) were not confirmed; Plus500 declined to comment.

Two more facts about the buyers, because they set the ceiling Verodus is not in:

- **FTMO's parent OMHC, 2024:** CZK 6.84bn ≈ \$329m revenue, CZK 1.3bn ≈ \$62.5m net profit. 2023 prop unit alone: almost CZK 5bn ≈ \$213m turnover, EBITDA reported around \$100m (Forbes / Finance Magnates). That is a ten-year brand with millions of accounts. Applying a 4–6× revenue multiple to that machine is a conversation about hundreds of millions of dollars. Applying it to Verodus's \$840k run-rate would invent a \$3–5m equity value that no buyer of a four-month book would pay.
- **FundedNext** was reported above \$100m revenue in 2024 (TradeInformer, unnamed source — not a filing). Track360's working band for the whole retail-eval operator market is about \$0.85–2bn net, ~\$3bn gross challenge flow, top five names taking

most of acquisition. Verodus is a rounding error on that map. That is why Joe is even in the room: he is not competing with FTMO on price; he is buying a small, already-profitable engine to put behind TradeMap.

3. Deals that did not happen, and firms that died

A valuation that only looks at winners is marketing. The 2024–25 washout is why a four-month book does not get an 8–10× earnings multiple.

Event	What it did to the multiple
80–100 prop firms closed in 2024–25 (Finance Magnates / Track360; ~13–14% of operators). MetaQuotes pulled MT4/MT5 from grey-label US-facing books.	Buyers assume platform risk, geo-fence risk, and a non-trivial chance the brand is gone in 18 months. Own stack (Java, not a rented MT grey label) is a plus for Verodus. Four months of history is still a minus.
MyForexFunds / Traders Global — CFTC complaint Aug 2023 alleging ≥\$310m fees from 135k+ customers; operations frozen. Case later dismissed with prejudice over CFTC conduct (May 2025). The brand is still dead.	Simulated-payout models are in the US enforcement set. KYC sitting in LLC-FZ, no US checkout, and “not a brokerage” copy do not remove that overhang. They do support a higher multiple than an un-KYC’d Instagram firm.
True Forex Funds, May 2024: insolvency after licence loss; industry trackers ~\$1.2m unpaid to ~300 traders. SurgeTrader, The Funded Trader pause, and a long tail of silent shutdowns.	Going-concern value is real only if payouts clear. Verodus has ~60 payouts in four months and ~\$11k/month of rewards. That is a positive signal. It is not a decade of Trustpilot.

Instant Funding’s purchase of Funded Trading Plus is the constructive reading of the same period: the survivors buy books that have already paid for years. FTP’s claimed \$19.5m lifetime payouts are ~440× Verodus’s ~\$44k paid to date. A buyer who paid a full mid-tier multiple for FTP would be insane to pay the same multiple on Verodus. The reverse is also true: Joe is not buying FTP. He is buying a small profitable engine with a hard book and an owner who still runs it. That trades like a small business, with a control premium on top.

4. The Verodus book, restated so the multiple has a base

Live card (verodus.com index-eval.js and checkout, 25 August 2026). Shopper pays VERO35 sale. Instant has no \$200k SKU at checkout. Eval fee refunds on first payout; Instant does not.

Plan	\$5k	\$10k	\$25k	\$50k	\$100k	\$200k
Instant	\$49	\$69	\$149	\$239	\$439	—
1-Step	\$45	\$69	\$129	\$219	\$379	\$699
2-Step Lite	\$39	\$55	\$115	\$169	\$309	\$599
2-Step Pro	\$45	\$59	\$125	\$199	\$349	\$699

FTMO / FundedNext \$100k one-step and two-step still sit around \$550–\$580. Verodus evals are cheap on purpose. Instant is not the cheap SKU versus Blue Guardian / FundingPips Zero at \$100k. 1-Step is the revenue engine on the 25 August call.

Line (USD unless noted)	Monthly	Annualised
Challenge receipts (Alexander)	~\$70,000	~\$840,000
Trader payouts (Alexander)	~\$11,000	~\$132,000
Opex ex-ads (CAD \$20,000 ≈ USD \$14,500)	~\$14,500	~\$174,000
Leftover with ads off	~\$44,500	~\$534,000
Ads if restored at 20% of receipts	~\$14,000	~\$168,000
Normalised leftover (ads on)	~\$30,500	~\$366,000

Payouts are 16% of receipts. Sixty payouts in four months on ~3,000 traders is about 2% ever paid. Industry anchors (Track360 / FPFx): ~7% of buyers ever paid, 5–14% pass. The 17 August industry-calibrated Monte Carlo (8–22% Instant / eval P(payment)) leftover only \$9,661/month on a 310-account mix. Live operations match the strict book (1.9–2.8% ever-paid), not the street-average book. That is why the cash engine looks better than a generic “prop firm” model. It is also why the multiple has to assume mean-reversion: if Hong Kong volume or affiliates push ever-paid toward 7%, leftover compresses.

Haircut inside the \$300k–\$350k normalised band: intern at ~\$3,000/month, David part-time, ads may need more than 20% to hold \$70k once the June pause is over. Do not capitalise the \$44.5k ads-off leftover. That number exists because media is off.

5. Three ways to the same \$1.2 million

A. Earnings (the primary method)

Owner-operated businesses under ~\$5m revenue trade on seller’s discretionary earnings, not on “fintech EBITDA.” BizBuySell’s 2024 insight report: average SDE multiple ~2.57× across all industries; typical band 2–4×. Professional write-ups in 2026 still put \$300k SDE in a \$600k–\$1.2m box at 2–4×, with 3+ years of books at the high end and sub-12-month history knocking 1× or more off.

Verodus is not a restaurant (1.7–3×) and not a contractual SaaS book (higher). It is a cash-generative evaluation shop with one IT person, three affiliates, and four months of operations. Put it here:

Multiple on \$300k–\$350k normalised leftover	Equity value	When it would be fair
2.5× (distressed / owner-absent / ads-off decay)	\$750k–\$875k	If receipts fall when media returns, or 1591011 is out.
3.5–4.0× (base)	\$1.05m–\$1.4m	Profitable, own stack, KYC in Dubai, Canadian processor, Kim stays.
5.0×+ (scale prop / FTMO-class)	\$1.5m–\$1.75m+	Not earned. Needs years, a second IT person, and a pass-rate that survives affiliates.
8–10× (Joe’s listing colour, or a SaaS multiple)	\$2.4m–\$3.5m	Fantasy on a four-month book. That is what people say after CSE/NASDAQ stories, not what they pay for control of a \$70k/month shop.

Midpoint of the earned band is **\$1.2 million**. OANDA’s 2018 5× EBITA is a regulated broker with \$35m of earnings, not a template. FTMO’s ~47% 2023 EBITDA margin on \$213m is what a mature challenge machine looks like; the multiple on that machine is a different market.

B. Revenue

\$70k × 12 = \$840k run-rate. Young, profitable, cheap-on-evals shops do not get 3–4× revenue (that is what people whisper about FTMO-scale). They get **1.3–1.5×** when earnings quality is high and history is short: **\$1.1m–\$1.26m**. Joe’s \$1.0m is 1.2× — a round-down of this band that ignores the 2% ever-paid ratio. \$1.5m implied (\$900k for 60%) is 1.8× revenue: full for four months, cheap for the freeze he wants.

C. Floor (cash-in and replacement)

About \$100k has been injected. The stack is owned, not rented from Exera. Domain, KYC, and Canadian merchant accounts are live. Replacement cost of a working Java book plus processor plus Dubai KYC is not zero, and it is not \$3m either. **\$1.1 million** is the lowest number that still treats this as a going concern rather than an asset sale.

6. Why 60% is \$900,000, not 60% of \$1.2 million

Sixty percent of \$1.2 million is \$720,000. That would be a fair split if Joe were buying a silent minority after a year of joint volume. He is not. On the call he asked to lock the maths on day one so Verodus cannot re-trade after the book matures, and his default is majority (51%, “normally 60%”). That is a control purchase plus an option on his own distribution.

- **Control premium.** Majority stakes in private companies routinely price 20–40% above the pro-rata equity value. 25% on \$1.2m is \$1.5m implied. 60% of \$1.5m is **\$900,000**.
- **Freeze premium.** He said a number that is “too small” is meaningless, then offered a small number. The freeze is the product. If TradeMap works, twelve-month receipts can be a multiple of \$840k. Selling 60% at 1.2× today’s run-rate donates that upside. \$900k is still cheap against the CSE / “\$5m revenue then NASDAQ” colour he used. It is not cheap against four months of Verodus standing alone.
- **Perimeter.** The \$900k is 60% of Capital and LLC-FZ and 1591011, same close. Without 1591011, Dubai’s licence is revocable and non-transferable. Without Kim contracted to stay, the Java stack has no IT. Chun has to sign.
- **Cash, not Hub.** Instant Funding paid (undisclosed) cash-or-equity for a real brand. Joe’s inject is mostly network and education IP. If 60% is paid in that, current holders take listing and counterparty risk on his ecosystem. Price cash. If he will only do \$600k cash, the gap is a ratchet on his volume, not a gift.

	100%	Cash for 60%	How to read it
Joe's example	\$1.00m	\$600k	Round-down. Locks before his volume. Reject as a stand-alone close.
Floor	\$1.10m	\$660k	Lowest going-concern. Below this only with a written ratchet.
Pro-rata of standing value	\$1.20m	\$720k	Fair for a non-control, post-volume sale. Not for day-one majority.
Take	\$1.25m	\$750k	Settlement if he pushes. Still a freeze discount.
Ask	\$1.50m	\$900k	Control + freeze on a profitable \$70k/month book.

7. What would change the number

- Management accounts that show \$70k is not holding in July–August with ads off — cut the run-rate, cut \$1.2m.
- Pass rates drifting toward 7% ever-paid without a matching price rise — Instant \$50k/\$100k becomes the hole the industry book warned about.
- 1591011 or Kim out of the perimeter — this is not a \$900k asset; it is a brand-and-rails package.
- A year of \$70k+ with ads on and a second engineer — then 5× earnings starts to be a conversation, and \$900k for 60% becomes cheap for him.

Until those facts move, the number that matches how this industry actually buys, how small businesses actually sell, and how hard this particular book is paying, is **\$1.2 million standing, \$900,000 cash ask for 60%**.

Internal working paper, 25 August 2026. Not an offer, not a fairness opinion, not for Joe. Figures from the 25 August call, Alexander's later run-rate, live verodus.com fees, FTMO/OANDA/Topstep/Instant Funding public statements, Finance Magnates, Forbes, CFTC Release 8771-23, Track360 / PPFX industry notes, and BizBuySell / 2026 SDE guides. Challenge-sim book: origin/cursor/verodus-challenge-sim-8d44. Companion: 08-internal-valuation.md.